

# ITEQ at Nomura Asia Tech Tour Aug 2026

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## Prepared remarks

- CCL market
  - SYTECH has high-speed and high-frequency materials (base stations and military).
  - TUC focuses on networking switches.
  - Nanya focuses on low-end products but it has a vertically integrated model. Similar to KingBoard.
- 55% of revenue from general servers at ITEQ (80% of ITEQ infrastructure).
  - AI server makes up 10% of total revenue.
- IC package and testing pushes out the ramp-up timeline of new server CPU platforms.
  - So this year, ITEQ enjoys growth from price hikes: 1) demand; and 2) supply shortage - high-end Cu foil and glass fabrics.
- Has to expand glass fabric sources: from Nittobo, Asahi and TGI to adding Taishan, Jushi, Grace, etc.
  - 70-75% UTR... capped by raw material shortage.
  - Aims for 80% UTR.
  - Should be able to achieve 90% in 2H27.
- Capacity expansion in Thailand and China!
  - ITEQ sees a strong demand growth coming from ASIC (esp. Google), and it may ask for 5mn/month of demand in 2028.
  - 5.7mn/month if fully loaded now. Decides to add 2.85mn/month in Wuxi (600k in 2027, 1.35mn in 2028, and 900k in 2029) and 600k/month in Thailand (2H28, for LEO projects at Taiwanese and Japanese PCB makers)
  - 9.1mn sheets per month by 2029... should be able to accommodate the demand coming from AI or general servers.
- Material tiers
  - M9 in production from 1H27 (qualified by a US AI GPU in 2025)
  - M4 and below 70% of revenue
  - Next generation general server: M7
- Outlook
  - Continues to raise selling prices.
  - Raised ASP by 10% in 1Q26 and 30% in 2Q26, and expects at least 20% each quarter in 2H26.
  - Will continue the price hike strategy into 2027 if the shortage prevails.
  - GM drivers: M7 in production (and potentially M9, which could augment GM by 3-5pp).
  - LEO: M4 and M6 (some M7). M4 GM is currently around 25% (vs. close to 20% in the past).

## Q&A

- Cu foil supply?
  - Has qualified with all those Japanese and Taiwanese suppliers (RTF, HVLP4/5).
  - The shortage of Cu foil is much smaller compared to glass fiber, but high-end Cu foil will witness severe shortage.
  - Continues to invite end-customers to join the meeting with suppliers to help secure raw material supply.
- E-glass shortage
  - A generic material.
  - A lot of fiber glass suppliers are moving to K1/K2 and giving up E glass (which ITEQ consumes a lot).
  - IC substrate makers are downgrading designs and share the E glass consumption...
  - ITEQ has been working with more fiber glass suppliers on top of the Japanese and Taiwanese players as a result.
    - Geopolitics is not an issue to hold ITEQ back from using Chinese glass fiber.
    - A lot of AI PCB makers are in China.
- Why will Cu foil supply tighten?
  - Has not yet seen tightness. High-end Cu foil (HVLP4/5) demand has not yet risen yet.
  - The demand for high-end Cu foil will grow a lot in 4Q26 and 2027. And a lot of AI will require HVLP.
  - Only Japanese makers could deliver exceptionally good yields!
  - If Cu foil makers could allocate more capacity to HVLP, they will have less capacity for RTF... which is a bulk of demand composition (and ITEQ uses a lot of them).
  - Cu foil players have not yet raised quotes as much as glass fiber makers now but ITEQ thinks they might raise the price twice in 2H26.
- CCL tightness in 2028-29
  - Even with ITEQ's capacity expansion (and EMC and TUC's), ITEQ thinks the supply will be behind that of the supply by end-2028... Google alone will consume 5-6 months sheets/month!
  - Meta is ITEQ's ASIC customer and has been in production.
  - There will be more demand coming from ASIC customers by the time.
- PCB customers' pushback on CCL price increase?
  - Infrastructure and automotive demand is strong.
  - A lot of component (and CCL) supplies are directed to AI and switches, and ITEQ has to push out the delivery to automotive and other applications. ITEQ has a huge backlog due to capacity constraints and raw material shortage.
  - Expects shortage in 2028.
- If input costs go down, will CCL price decline?
  - In the past, Chinese CCL suppliers undercut to gain shares.
  - Since 1H25/2H25, Chinese suppliers began to raise selling prices to maintain the GM. All the Taiwan suppliers could follow that. No one is going to deploy aggressive pricing strategy to win the demand.
  - Simply put, **NO**.
- GM flow-through
  - Price increase will help with GM expansion.
  - +10% ASP increase can drive 2-3pp extra GM. A rough calculation.
- What are the bottlenecks of M7?
  - Fiber glass is the bottleneck of M7 at ITEQ.
  - For the entire supply chain - ITEQ thinks the bottleneck is glass fiber and Cu foil.
- Japanese players improving the Cu foil production yield?
  - They are the gold standard in terms of raw material quality.
  - A much longer learning curve for Taiwanese or Chinese makers. They have to buy equipment from Japanese tool makers.
    - There will be some bottleneck at the beginning (yield).
  - Japanese makers are more reserved about capacity expansion - that is where the concern comes.
- Cost disadvantage of US PCB makers? Any possibility of CCL reshoring?
  - There is no regulation holding AI back from using Chinese PCB/CCL.
  - TTM's products mainly go to military and satellites... Taiwan CCL makers focus on AI (infrastructure), and thus there is no clear boundary of producing in China.
  - Thailand capacity of ITEQ is to serve NCNT demand (e.g. LEO).
  - ITEQ focuses on ground terminals and they don't ask ITEQ to have factories in the US.
- Market share change because of CCL makers' HQ?
  - The shift affects semi supply chain more. Not as much on the PCB supply chain.
  - Aerospace/Military applications do not consume ITEQ's capacity in Taiwan or China - it has to source from the Thailand site.
- M7-M9 contribution by 2027
  - HSD of total revenue from M7 now. 15-20% next year.
  - No idea about M9.
  - ITEQ is rather behind peers in M8... back in 2021, ITEQ had a fire incident at R&D that delayed the qualification of M8 (2-3 years behind). The growth is not going to be commensurate with M7/M9.
  - Focuses on M9 and M10 - which ITEQ believes it has a fair chance vs. others.
  - M10 sampling at CSP, ODM, and PCB makers.
- M9 ramp-up in 2027? ASP difference?
  - Does not know how large M9 market could be... ITEQ's peer only started shipments, in small volumes. ITEQ would only start from 2027.
  - If M6 is indexed to 1x, M7 is 2x, M8 is 3-4x, and M9 is 5-6x.